U.S. Large-Cap Banks

Jason Goldberg's Bank Brief | Volume 23, Issue 184 | 10.27.26

TFC reportedly exploring Afco sale; C receives approval for securities venture in China; O'Hanley sells $2.3mn STT shares; S&P revises BNY outlook to positive; GS, others active in AI financing deals; Fed to rewrite Durbin Amendment implementation; H.8 loans up 12 straight weeks to record high...

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POSITIVE

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Research Released

Guidance Grid, Key Spreadsheets & Snapshots Post 3Q26 EPS (10/26/26). Herein you will find i) refreshed Guidance Grid (companies' forward-looking disclosures); ii) key tables updated post 3Q (targets, deposit levels/mix/cost, ACL, NCO, NDFI, capital mrkts, AOCI, capital return/level/ requirements, M&A); and iii) 3Q EPS company recaps (with links to our reports/models).
Weekly Bank Briefing (10/25/26). Loans rose for 12 straight weeks for the first time since 2Q22 to a record high. Balances grew 8.0% y-o-y, their fastest pace since Feb. 2023 (10-year average is 3.5%). Seasonality suggests 4Q26 trading revenues should rise 10% y-o-y while mortgage originations forecasted to fall 11% sequentially.
Large-Cap Banks Valuation Table (10/23/26 close)

Daily Dose

Stat of the Day. Looking at the 21 trading days from Sept 16 (the Fed's first rate hike since 2023) through Oct 14 (Day 2 of the 3Q26 bank EPS season), the BKX underperformed the S&P 500 in 18 of them. The 10yr treasury yield rose 16bps over this span (+28bps at its peak). Looking at the 8 trading days since through last night, the BKX has outperformed or performed in-line with the market in 6 of them (10yr -21bps).
Chart of the Day. This month to date, the median bank has seen its 2027 consensus EPS estimate increase 0.3%. Estimates have now increased every month this year, for a cumulative 6.3% increase. Of note, the four months in which earnings were reported saw the four largest monthly increases. See today's Chart of the Day. The three trust banks (BK, NTRS, STT) and the three largest capital markets players (GS, JPM, MS) have seen double-digit YTD increases, while HBAN, ALLY, TFC and FCNCA are the only banks to have experienced declines.

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Completed: 27-Oct-26, 11:27 GMT Released: 27-Oct-26, 11:27 GMT Restricted - External

Today's Tasks

8:30am – Durable Goods Orders: another robust rise in capex seen at 0.5% for core capital goods as the AI-driven investment boom continues while durables overall expected up 1.4%, skewed up by aircraft, as usual
9:00am – FOMC two day closed meeting begins: announcement at 2:00pm tomorrow
9:00am – Case-Shiller Home Price Index: y-o-y rise is expected flat at 2.5% in Aug as housing price inflation remains muted amid weak demand
9:00am – FHFA House Price Index: consensus looks for a muted, trend-like 0.2% increase in home prices on the month
10:00am – SEC's Small Business Capital Formation Advisory meeting: to discuss matters relating to rules and regulations affecting small and emerging businesses and their investors under the federal securities laws
10:00am – New Home Sales: consensus looks for new home sales down to a 651K rate in Sept from 684K in Aug

Market Matters

Yesterday, the Barclays Large-Cap Bank composite rose 0.5% while the S&P 500 increased 0.7%. The Barclays Large-Cap Bank composite has outperformed in 6 of the past 7 trading days. The BKX (+0.7%), KRE (+0.4%) and XLF (+0.2%) advanced. Our Trust Bank (+1.2%) and Money Centers (+0.9%) outpaced the Super Regionals (+0.1%). MS (+2.2%), GS (+2%), BNY (+1.3%), STT (+1.3%), NTRS (+1.0%), and TFC (+1.0%) rose by 1% or more while FCNCA (-1.3%), ALLY (-0.6%), ZION (-0.4%), BAC (-0.1%) and HBAN (0%) were unchanged to lower. RF and TFC have both outperformed the Barclays Large-Cap Bank composite for the 3 straight sessions while C has lagged for three straight. RF and TFC have both increased for 5 straight sessions.

Yesterday, the 10tr Treasury yield was unchanged at 4.99% while the 2s/10s declined 4bps to +27bps, its narrowest level in the past month. The Bloomberg U.S. Credit Index ended the day unchanged closing at 82bp, and the CDX.IG index was 1bp tighter closing at 63bp. The Bloomberg High Yield Index gained $0.24 closing at $93.62, and the CDX.HY index was up $0.24 ending the day at $105.88.

U.S. stock futures are mixed this morning following a winning session on Wall Street, with traders parsing through a slew of corporate earnings as the Federal Reserve began its two-day policy meeting. S&P 500 futures were up 0.1%, while Dow Jones Industrial Average futures climbed 102 points, or 0.2%. Nasdaq-100 futures gained 0.2%. Brent crude futures for December delivery are little changed this morning while West Texas Intermediate futures slipped 0.1%. The pan-European Stoxx 600 is up 0.1% in mid-morning trading, after opening lower. In Asia, Japan's Nikkei 225 rose 1.7%, while South Korea's Kospi jumped 3.1%. Still, Hong Kong's Hang Seng index declined 0.7%.

Company Commentary

TFC reportedly exploring sale of Afco. Article on Bloomberg intra-session yesterday titled "Truist Is Said to Weigh Sale of $7 Billion-Asset Lender Afco" stating **TFC is exploring a sale of specialty lender Afco Credit Corp. Afco handles insurance premium financing and has $6-$7bn in assets,** it said. TFC is considering selling the business outright or unloading its assets, which are expected to draw interest from private credit players, it said. **It is expected to fetch a premium to its assets**, it said. The process is in the early stages and may not result in a sale, it added. TFC exited a near-prime auto lending business in Sept and agreed this month to sell $7.7bn of personal loans to CG, it noted. Afco is a lender that helps businesses, such as trucking fleets and construction companies, pay their insurance bills. **TFC significantly expanded into that market in 2022 via its $3.4bn acquisition of BankDirect Capital Finance.**

C receives approval to establish a wholly owned securities venture in China. Friday, **C announced it has received approval from the China Securities Regulatory Commission (CSRC) to establish a wholly-owned securities company in China, Citigroup Securities (China) Company Limited (CSCCL).** The onshore securities license will allow CSCCL to offer equities brokerage, securities underwriting, securities research and principal trading services to domestic and foreign clients. CSCCL plans to offer a suite of onshore capital markets services to both domestic and foreign clients, including underwriting capital markets deals, equities brokerage providing direct access to China stock exchanges and other financial products, securities research and investment advisory, and trading of onshore listed shares, bonds, funds, and other financial instruments.

O'Hanley sells $2.3mn of STT shares. Last Thursday, **STT CEO Ron O'Hanley filed a Form 4 showing that he sold 14,554 shares of STT for $2.3mn**. O'Hanley has control over a total of 286,232 common shares of STT (215,905 shares held directly and 70,327 controlled indirectly).

S&P revises BNY's outlook to positive on improved business performance, A/A-1 affirmed. After the close,**S&P revised its outlook BNY's 'A' long-term issuer rating to positive from stable.** It affirmed that rating as well as its 'A-1' short-term rating. **It stated over the last 3 years, since BNY's current management has been in place, the company has made significant improvements to its business model.** By breaking down silos across business lines, it has cultivated a "One BNY" mentality. It also said BNY has developed new products and has increased investment in client solutions. The backbone of its improvement in execution is the development of its "Platforms Operating Model" that, among other things, promotes connectivity across the bank's eight business lines while adding efficiency, it said. BNY's business enhancements have resulted in peer-leading profitability led by organic initiatives but also in part attributable to tailwinds from accommodative markets and strong capital market volumes.

BNY increasing efforts to monitor AI costs to avoid overspending. Article on Bloomberg today titled "BNY Mellon Says It Has Become 'Disciplined' to Track AI Costs" saying **BNY is increasing efforts to monitor AI costs so as to avoid overspending, according to CFO Dermot McDonogh. It has developed tools to track costs and route tasks to the most suitable models,** McDonogh. "We've become quite disciplined and developed some sophisticated telemetry so we can track how we're spending and how we're using our tokens," he said. Efforts to direct tasks to appropriate models will also become more important "over time as costs come into play," McDonogh said. "We don't use expensive models for cheap queries," he said. **"It's going to really power a lot of initiatives for us going forward," McDonogh added. "We don't talk about it in relation to efficiency or job cuts. We talk about it in relation to upskilling and trying to do better things."**

BAC succession planning in focus. Article from Barrons last Thursday titled "Is It Time for a New CEO at Bank of America?" noting **BAC CEO Brian Moynihan, age 67, has indicated that he plans to remain BAC's CEO until 2030. Still, it states that BAC shares have lagged peers over the past five years in terms of both its return on capital and its stock market performance.** "While the rate environment this fall has impacted bank stocks generally, Bank of America's stock hit multiple all-time highs in 2026," a BAC spokesperson countered. Still, the article states "BAC's returns remain appreciably below JPM's" despite the banks having a similar mix of business. It notes BAC's 3Q26 ROTCE was 15% (ex. AML fine) versus JPM at 20%. BAC's goal is to get to a 16% to 18% return. The spokesperson said the bank "is on course to deliver record full-year earnings, achieve a second consecutive year of double-digit EPS growth, and is on track to reach its medium-term ROTCE 16-18% targets." **While "there is still huge potential at BAC", its "current valuation…suggests investors remain dubious about its ability to deliver**", it says. It adds **last fall BAC named Dean Athanasia and Jim DeMare as co-**

presidents but former JPM exec Marianne Lake is an "excellent external candidate" to succeed Moynihan.

BAC leveraging AI. Article in today's San Francisco Business Times titled "Bank of America's top tech exec cuts through the AI hype" with an **interview with Hari Gopalkrishnan, BAC's chief technology and information officer.** He says BAC has embraced AI, but the bank has to be hard nosed in choosing which AI projects and tools are worth pursuing. **"We're going to see this hype cycle go on for a while. We're going to see people run too fast," Gopalkrishnan said.** BAC spends $4bn every year on new tech initiatives including AI. That's part of the bank's annual tech budget of $14bn. **BAC holds 8,600 technology patents,** including more than 1,700 patents focused on AI, or about 20% of its patent portfolio. Gopalkrishnan has a series of questions that he uses to screen proposed AI projects in an effort to make the most of the bank's tech dollars. "To me, every tool comes with the same set of questions: Does it solve a business problem? Does it solve a client need? How much does it cost to implement? Can it be implemented securely and soundly," Gopalkrishnan said, criticizing the rush some companies made into AI. "Two years ago, a bunch of people said, 'This AI thing is amazing. Let's go after thousands of use cases and they were surprised to find out that it costs money, and it's expensive, and not all of them yield value." **BAC has rolled out several successful AI projects over the past year. "We've gone from demos to diffusion," Gopalkrishnan said. "We demoed lots of cool stuff last year. Now those things are deployed to tens and tens of thousands of teammates."** The bank is using AI to prepare for client meetings so staff can focus on building deeper relationships with customers. He pointed to the bank's success in using chatbot Erica to work with customers as well as EricaAssist, which helps employees. **"EricaAssist is something that sits on an agent's desktop that assists the incoming call, uses speech to text, understands intent and saves time," Gopalkrishnan said, of the tool that's used by 18,000 BAC agents and reduces average call time by almost a minute per interaction. "That's why it's really important from a return on investment perspective. "We're basically dropping millions of dollars to the bottom line with the seconds that we're saving out of each of the calls."**

JPM's Private Bank using AI to make advisers more efficient. Article on Bloomberg on Sunday titled "JPMorgan's Private Bank Using AI to Make Advisers More Efficient" saying **JPM's private bank is using AI to onboard clients, support investment research and perform other tasks designed to increase adviser productivity, including simplifying complex processes and providing faster access to the bank's research and investment views.** JPM is still hiring and investing in its private banking staff, with its EMEA head expecting adviser headcount to grow over the next 3 to 5 years.

JPM Asst Mgmt ahead of Asia target. Article on Bloomberg yesterday titled "JPMorgan Asia Assets Grow Faster Than Expected to $400 Billion" saying **JPM's JPMorgan Asset Management has expanded its Asia-Pacific AUM by almost a third in 12 months to about $400bn, with rising wealth driving much of the gain. The increase puts the firm on course to exceed its target of doubling assets in the region from $300bn by 2030**, a goal set by Asia-Pacific CEO Dan Watkins last year. While institutions remain a key part of the business, much of the growth has been powered by rich investors, according to Watkins. "Wealth is where you're seeing significant growth," he said. Its assets from clients of private banks climbed 50% in the past year, he added.

JPM's Security & Resiliency Initiative off to a strong start. Last week, **JPM said one year after launching its $1.5trn Security and Resiliency Initiative (SRI), it has deployed $5bn (of its initial $10bn) in equity investments and financed and facilitated more than $230bn aimed at strengthening the industries, supply chains and technologies that underpin long-term national security and economic resilience.** Recent equity investments support next-

generation defense technologies, distributed battery storage, automated manufacturing and frontier technologies. **JPM has built a dedicated team of more than 35 SRI professionals, including 13 MDs, supported by hundreds of bankers and colleagues across the firm. SRI has also expanded to Europe and Canada this year.**

LeavePlus appoints NTRS as asset servicing provider. Yesterday, **LeavePlus announced NTRS's appointment to provide global custody and related services for LeavePlus, the portable long service leave scheme for Victoria's construction industry in Australia.** Established in 1976 and celebrating its 50th year, LeavePlus manages AUD$2.6bn ($1.8bn) in assets and supports more than 30,000 employers in providing long service leave benefits to over 290,000 eligible workers in Victoria's construction industry. **Under the appointment, NTRS will provide asset servicing, including global custody, fund administration, investment accounting, performance measurement and compliance monitoring services.**

AI Arrangements

GS active in AI financing deals. Article on Bloomberg yesterday titled "Goldman's $210 Billion Day of Deals Driven by AI Financing Fever" saying **a trio of mega AI financing deals announced yesterday morning had one name in common: GS. Those big deals totaled at least $210bn and are a boon for GS, which is likely to see a windfall worth at least tens, if not hundreds, of millions of dollars for its work,** it states. Wall Street has been racing to finance the AI frenzy, which includes the surging demand for chips and data centers to provide computing power needed to back the technology. But the rising levels of debt and equity pouring into the space, along with cash burn at frontier AI labs, have raised worries that some of the financing could be unsustainable, it states. GS has pushed to get in on the boom, including landing a spot as the only bank in a partnership that committed in August to financing $500bn of AI chips deals for customers of Nvidia.

BAC, C and MS announce $63bn financing structure to enable AI compute capacity in partnership with Broadcom. Yesterday, BAC, C and MS, along with BX, announced a $63bn transaction to enable the deployment of AI compute capacity. This transaction is part of the strategic compute capacity agreement previously announced by Broadcom, with expected deliveries starting in calendar 2027. The transaction will be executed through a newly formed SPV. The first lien portion of the financing is being arranged by BAC, C and MS, with BX as the sole provider of the committed portion of the second lien financing. Broadcom is providing residual value support to the SPV for the amount equivalent to the first lien portion of the financing.

Board/Bosses Buzz

WFC announces Santos to Lead Consumer Banking & Lending, Van Beurden to lead AI. Last week, **WFC announced that Kleber Santos will become CEO of Consumer Banking and Lending (CBL), and Saul Van Beurden will focus exclusively on leading AI across WFC. The two executives have served as co-CEOs of CBL since its formation last year, while Van Beurden also established and has led the company's AI efforts.** Santos will assume full responsibility for CBL, building on growth across Consumer Deposits, Credit Cards, Business Banking, and Auto lending. Van Beurden will focus on building WFC's capabilities for enterprise-scale AI adoption, working closely with Bridget Engle, head of Technology. **Both executives will continue to report to CEO Charlie Scharf and serve on WFC's Operating Committee.**

BAC names Fitterling and Thomas to Board. Last Wednesday, B**AC appointed Jim Fitterling and Bill Thomas as directors, effective immediately.** Fitterling, 65, is Executive Chair of Dow, a global materials science company. From 2018 to 2026, Fitterling served as CEO of Dow, and he was elected Board Chair in 2020. Thomas, 58, served as Global Chair and CEO of KPMG

International from 2017 to 2026. Fitterling was appointed to serve as a member of the Enterprise Risk Committee and the Compensation & Human Capital Committee and Thomas was appointed to serve as a member of the Audit Committee and Corporate Governance Committee. **The additions increase the size of the Board from 12 directors to 14 directors.**

C adds Flanagan to its Board. Last Wednesday, **C added James Flanagan to its Board and appointed him to its Audit Committee.** Flanagan served in various roles at PwC, including serving as COO and Vice Chair from 2014 to 2021.

Deposit Dilemma / Lending Lowdown / Loan Losses

Private equity eyeing software exposure. Article in today's WSJ titled "A $300 Billion 'Debt Wall' Is Looming Over Private-Equity Backed Companies" saying **private-equity firms are scrambling to avoid big losses from a potential wave of defaults by the companies they own. Fund managers are racing to negotiate loan extensions on much of a $300bn wall of debt that is coming due starting in 2028.** It is a pressing need that is intensifying because rising interest rates have made refinancing more expensive this year, it said. And much of it is for software companies at risk of being eclipsed by AI companies. Buyout fund managers that fail to get loan extensions risk having the companies they own taken over by creditors and their investments wiped out. Most companies refinance large obligations 18 to 24 months in advance as a precaution, whittling down the amount of debt coming due in that time frame. Companies owned by private equity have found that harder to do, creating an unusually high "maturity wall" in coming years. **About $140bn in risky corporate loans are scheduled to mature in 2028 and another $160bn in 2029. By comparison, from 2023 to 2025, there was an average of about $60bn due in two years. Software companies account for about one-third of the loans coming due in 2028 and 2029.** About one quarter of loans due in 2028 and 2029 have junk ratings of CCC-plus or below. To stave off creditors, some firms are using cash from new funds to invest in ailing companies as a sweetener to extend due dates on loans, it notes.

Securities-based lending on the rise. Article in today's WSJ titled "The 'Buy, Borrow and Die' Wealth Strategy Has Become a $5 Trillion Market" saying **stock-based lending, better known as Lombard loans to borrowers in Europe and Asia, is increasingly available to those lower down the wealth scale. Deloitte estimates that around $5.4trn is extended in securities-based lending,** mostly against stock and bond portfolios but also funds and crypto. The figure has risen sharply as more global wealth pours into markets and asset prices rise. The market's growth rate averaged 12% over the past 10 years. Around 30% of the market is estimated to be in the U.S. Other strongholds, such Switzerland and Liechtenstein, together make up around 12%**. The average LTV is around 50%, while the charge for the borrower is around 1 percentage point over benchmark rates.**

Excess rewards use is prompting banks to adjust to their evolving credit card tactics. Article in yesterday's WSJ titled "The Cat-and-Mouse Game Between Premium Credit-Card Firms and Points Junkies" saying **the popularity of credit card rewards programs has created a subculture of people obsessed with maximizing their benefits, with cardholders now keeping spreadsheets and setting up calendar reminders to ensure they don't miss out on perks. But banks say some of that behavior crosses the line and violates their rules, forcing them to crack down on gamers who find ways to vacuum up points, sometimes with no intention of using their cards.** C earlier this year implemented a policy limiting cardholders to one sign-up bonus a lifetime for its Strata cards. JPM implemented a similar policy last year for its Sapphire cards. The bank already had a 5/24 rule, which bans people from being approved for a new card if they have been approved for five or more from any issuers in the past 24 months. Rewards junkies say they are playing by the rules. But cardholder agreements generally allow banks to close an account for any reason—often with stipulations

that let them seize points in such cases. Banks have also been tightening up rules for customers who might try to milk perks in less aggressive ways.

Capital-markets Conditions

Record IG debt issuance this year. Article on Bloomberg yesterday titled "AI Funding Needs Drive US High-Grade Bond Sales to Annual Record" saying **US investment-grade bond sales were poised to set an annual record yesterday, surpassing the $1.75trn issued during the pandemic-fueled borrowing boom of 2020, as a surge in AI spending drives companies to raise more debt.** More than $300bn of AI-related funding has been raised in global high-grade markets so far in 2026, approaching three times the amount for all of 2025. Nine separate US offerings have totaled at least $25bn each this year. Four months have set records for issuance this year. Activity has slowed sharply in October, however, after some Treasury yields climbed to their highest levels since 2002. Issuance stands at $79.9bn month to date, compared with this year's low of $139.6bn in July. Recent volatility has repeatedly prompted companies to postpone bond sales in hopes of finding better borrowing conditions.

Capital Conundrum / Regulatory Round-up

Fed to rewrite Durbin Amendment implementation. Article from Bloomberg Law yesterday titled "Fed's 2011 Debit Card Swipe Fee Rule Tossed by Appeals Court" saying **the Fed must rewrite its 15-year-old rule capping how much banks can charge for processing debit card transactions, a federal appeals court said.** The Fed's rule violated Congress' intent by allowing banks to include certain charges, such as their expenses for fraud prevention, in their debit card swipe fee calculations, the US Court of Appeals for the Eighth Circuit said in a ruling yesterday. The Fed never defined what counts as a covered incremental cost when it adopted the fee rule, as required under the 2010 Dodd-Frank Act, the appeals panel said. **At a minimum, the Fed has to "sort the costs into those that are transaction-specific and those that are not," Judge David Stras wrote for the panel. "Not just pick a number and hope it is close enough for government work."** The ruling upheld a lower court's August 2025 decision that eliminated the Fed's debit card interchange fee cap. The Fed's 2011 rule (aka the Durbin Amendment) allowed banks to charge 21 cents per debit card transaction plus 0.05% of the transaction's value. The Fed's rule authorized banks to include charges for fraud prevention and other activities, on top of the costs they incur to authorize, clear, and settle debit card transactions. The Fed is currently working on a revision to the debit card swipe fee rule that will lower the amount that card issuers and payment networks can charge, but the proposal uses the formula that was constructed for the 2011 rule.

OCC issues final rule implementing the GENIUS Act, leaves room for ambiguity on yield. Last Wednesday, **the OCC issued a final rule implementing the Guiding and Establishing National Innovation for U.S. Stablecoins Act (GENIUS Act) with respect to the issuance of payment stablecoins and certain related activities by entities subject to the OCC's jurisdiction**. The OCC also **issued** guidance regarding the application and waiver processes under the GENIUS Act and **published** revised weekly and quarterly reporting forms and instructions for permitted payment stablecoin issuers (PPSIs) and foreign payment stablecoin issuers. The final rule will take effect on January 18. The OCC's final rule is one component of the broader regulatory framework for PPSIs. Other aspects of that framework remain subject to separate rulemakings, including (i) proposed requirements **issued** by the U.S. Department of the Treasury's Financial Crimes Enforcement Network (FinCEN) and Office of Foreign Assets Control (OFAC) relating to anti-money laundering and countering the financing of terrorism (ML/CFT) and economic sanctions compliance; (ii) proposed customer identification program (CIP) requirements for PPSIs **issued** by FinCEN, the federal banking regulators, and the National Credit Union Administration; (iii) licensing requirements for PPSIs that would be supervised by

the Fed and FDIC; and (iv) proposed principles for determining whether state regimes for regulated stablecoins are substantially similar to the federal framework, as administered by the U.S. Department of the Treasury. **The BPI noted the GENIUS Act prohibits issuers from paying yield or interest on stablecoins. Still, it stated the final OCC rule omits a presumption from the proposal that certain arrangements between issuers and third parties to pay yield violate the prohibition on paying yield or interest. Instead of presuming that those arrangements violate the law, the OCC states that it will examine arrangements on a case-by-case basis, which will make it impossible to know whether the GENIUS Act's prohibition on the payment of interest or yield is being applied in practice.**

Democrats demanding major banks preserve records tied to potential imports or deals involving Russian diesel. Article from Axios yesterday titled "Democrats lay groundwork to probe Trump's diesel deal" saying **top Democrats are demanding that major banks and ports preserve any records they have tied to potential imports or other deals involving Russian diesel**. Probing President Trump's agreement with Moscow will be a priority if Democrats regain control of either or both chambers of Congress, it states. "[A]ny importation of Russian diesel into the U.S. raises significant legal questions and may be subject to legal action, as well as congressional investigations," a letter, signed by Sens. Chris Coons (D-DE), Elizabeth Warren (D-MA), Ron Wyden (D-OR), and Sheldon Whitehouse (D-RI) said. **The letter was sent to JPM, BAC, C, WFC, GS and MS**, it added.

Fed balancing further changes and Democrat support for B3E. Article on Reuters yesterday titled "Why Wall Street banks want Democrats to back their capital relief" saying **large banks are poised to receive regulatory relief thanks to Republican regulators, but ensuring the changes survive long-term may ultimately require Democratic support. Although President Donald Trump appointed 4 of the Fed's 7 governors, banks hope Fed Vice Chair for Supervision Michelle Bowman can secure Democratic backing for the changes too, hoping that will make them harder to unwind**, it said. While former Fed VC for Supervision and current Fed Governor Michael Barr opposes Bowman's proposals, the Fed's other two Democratic appointees, Governors Lisa Cook and Philip Jefferson, voted for the recent proposals, and said they would assess the final rules on their merits after reviewing feedback on how they would affect the economy and financial resilience. **Some big banks are pushing Bowman for more relief, including tweaks that would further reduce their GSIB surcharge. Others want changes to how the proposal to implement international 'Basel' standards treats unused credit card lines. Most banks also want some fine-tuning to remove what they say is overlap with other capital rules. But cutting big-bank capital further could cost Bowman Democratic support, it says. While a handful of executives are privately urging Fed officials to prioritize further gains, most favor a swift bipartisan vote,** it states.

Industry Insights

Banks eyeing AFS portfolios. Article on Reuters today titled "Hold or sell? High Treasury yields spur US banks to rethink bond portfolios" saying **a spike in Treasury yields is forcing US banks to confront a question: sell bonds worth billions of dollars they own at a loss, or hold on to paper losses? Both carry costs. Selling involves taking an immediate financial hit, while waiting would pile on losses on the balance sheet that can weaken some measures of financial strength and limit payouts to shareholders.**

Earnings Evaluation

For several of our most requested post EPS spreadsheets and updated Guidance Grid see: *Guidance Grid, Key Spreadsheets & Snapshots Post 3Q26 EPS (10/26/26).*

In 3Q26, 86% of our coverage exceeded consensus EPS expectations, while 14% missed (BAC, JPM, STT). This is the highest percentage missing since 2Q23. Softer-than-expected FICC revenues were the main driver of the misses. Still, only half exceeded revenue forecasts, though two-thirds posted better-than-expected PPNR, as performance across net interest income/ margin, fee income and expenses was mixed relative to forecasts. Almost every bank posted a lower-than-expected provision for credit losses, as NPA and NCO ratios were stable to modestly better, while half also benefited from lower-than-expected tax rates. Still, share repurchase was less than expected for most.

EPS rose 14% y-o-y and declined 4% from the prior quarter. Operating revenues increased 9% y-o-y, down from 13% growth in 2Q26 but still well above the roughly 4% quarterly average over the past 10 years. In fact, revenue growth has now exceeded 7% for six straight quarters. The median bank posted a 1.15% ROA and 16.3% ROTCE, though tangible book value contracted 2.0% sequentially, only its second decline in the past four years, given the negative impact of higher long-term rates on securities and swap portfolios.

Relative to 2Q26, net interest income rose 1.8%, with average earning assets up 0.8% (avg. loans +1.0%) and NIM up 2bps (nine straight quarters stable to higher); average deposits rose 1.3%, with NIBD little changed (+0.1%) and IBD up 1.8% (costs +6bps); fee income declined 2% (but rose 6% y-o-y), while expenses were little changed (comp -1%, non-comp +1%); the provision for credit losses declined 5%, with NPAs down 1bp, NCOs unchanged, and the ACL decreasing 2bps; CET1 declined 3bps (marked -30bps) and TCE fell 19bps as AOCI losses jumped 35%; and dividends increased 10% y-o-y, dollar share repurchase for our composite declined 28% to a seven-quarter low, and average diluted shares fell 0.8%.

Annual guidance for 2026 had an upward bias on the October earnings calls, though outperformance in 3Q26 played a role. Generally speaking, net interest income, loans and deposits are expected to continue rising in 4Q26, while asset quality should remain relatively stable. Trading is likely to face seasonal pressures. Over the past 15 years, our coverage has averaged a 15% decline from 3Q to 4Q, with FICC down 18% and equities down 9%. If that pattern holds in 4Q26, trading revenues would still rise 10% y-o-y, with equities up 40% and FICC down 11%. On investment banking, most companies touted strong pipelines, particularly for M&A and IPOs. Expenses tend to be seasonally higher in 4Q, while banks were generally non-committal on share repurchase expectations.

The biggest positive this earnings season has been the 2027 NII outlook. JPM (+10%) and BAC (more than +8%) both provided robust initial 2027 NII (ex. Markets) outlooks, while FCNCA (up mid-to-high single-digits despite the FDIC note payoff) and ZION (up 8-12%) provided their NII expectations for 4Q27 versus 4Q26. CFG (up 10-30bps from 3Q26) and KEY (up 30bps-plus from 3Q26) also reiterated their expectations for net interest margin improvement. Several others offered constructive commentary amid continued loan growth and fixed-rate asset repricing. On expenses, several indicated positive operating leverage should persist, though at a slower pace than this year. Several banks also said they looked forward to receiving the final capital rules in December, with a modest net benefit expected.

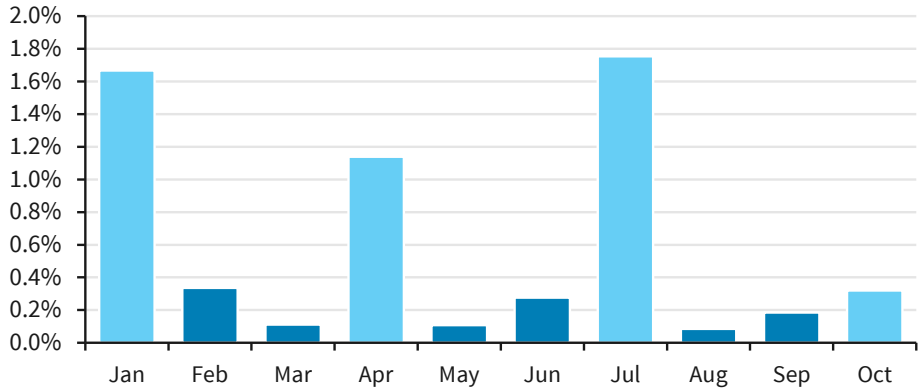
For full-year 2026, we expect revenue growth to approach 10% and EPS growth to be around 20%. Looking ahead, if the current consensus economic outlook holds, with continued GDP growth, low unemployment, a measured Fed and the 10-year leveling off, double-digit or near-double-digit EPS growth could persist into 2027. The median bank's 2027 EPS estimate is modestly higher month to date. In fact, this metric has increased every month so far this year and now points to 11% earnings growth next year.

For several of our most requested post EPS spreadsheets and updated Guidance Grid see: *Guidance Grid, Key Spreadsheets & Snapshots Post 3Q26 EPS (10/26/26).*

Daily Depiction

FIGURE 1. Chart of the Day (click upper right corner to expand)

Median Bank Change in 2027 Consensus EPS by Month



Cyan bars indicate months in which quarterly earnings are released.
Source: Barclays Research and Bloomberg

Market Movers

FIGURE 2. Large-Cap Bank Stock Heat Map

	Ticker	1 day	1 wk	1 mon	QTD	3 mon	6 mon	YTD	2025	2024	2023	2022	2021	2020	2019	2018
Money Centers	BAC	(0.1)	0.3	(10.9)	(7.2)	(19.3)	(4.5)	(8.1)	25.1	30.5	1.7	(25.6)	52.4	(13.9)	42.9	(16.5)
	C	0.3	(0.5)	(9.9)	(6.5)	(8.6)	(5.1)	3.7	65.8	36.8	13.7	(25.1)	2.3	(22.8)	53.5	(30.0)
	GS	2.0	2.0	(4.5)	(0.8)	(13.6)	(1.4)	1.6	53.5	48.4	12.3	(10.2)	49.9	14.7	37.6	(34.4)
	JPM	0.7	0.2	(2.6)	1.0	(6.5)	8.0	3.7	34.4	40.9	26.8	(15.3)	27.3	(8.8)	42.8	(8.7)
	MS	2.2	2.8	(6.5)	(2.4)	(13.3)	(1.9)	3.4	41.2	34.8	9.7	(13.4)	46.2	34.1	28.9	(24.4)
	WFC	0.3	1.0	(0.4)	3.2	(4.9)	1.4	(11.3)	32.7	42.7	19.2	(13.9)	68.1	(43.9)	16.8	(24.0)
Trust	BNY	1.3	3.3	(2.0)	1.8	(5.9)	11.3	26.8	51.1	47.6	14.3	(21.6)	37.9	(15.7)	6.9	(12.6)
	NTRS	1.0	3.1	(3.5)	0.1	(6.3)	2.9	24.1	33.3	21.5	(4.6)	(26.0)	29.6	(12.3)	27.1	(16.3)
	STT	1.3	2.7	(6.3)	(2.7)	(6.9)	12.8	31.7	31.4	26.7	(0.1)	(15.9)	29.8	(7.3)	25.4	(34.9)
Super Regionals	ALLY	(0.6)	3.2	0.1	3.2	(12.0)	(11.4)	(14.3)	25.8	3.1	42.8	(48.6)	36.2	16.7	34.9	(22.3)
	CFG	0.4	4.2	(0.2)	2.5	(10.4)	1.5	11.9	33.5	32.0	(15.8)	(16.7)	37.4	(11.9)	36.6	(29.2)
	FCNCA	(1.3)	11.9	12.2	13.9	6.7	18.9	9.3	1.6	48.9	87.1	(8.6)	44.5	7.9	41.2	(6.4)
	FITB	0.2	5.1	1.9	5.0	(8.1)	6.6	13.4	11.7	22.6	41.0	(35.9)	50.1	(3.9)	36.1	(24.1)
	HBAN	(0.0)	3.3	0.6	3.1	(9.1)	(3.6)	(9.3)	6.6	27.9	(9.8)	(8.6)	25.1	(16.2)	26.5	(18.1)
	KEY	0.6	6.5	2.9	5.7	(6.3)	(2.1)	2.8	20.4	19.0	(17.3)	(24.7)	43.7	(18.9)	36.9	(26.7)
	MTB	0.1	3.8	0.3	1.9	(12.2)	2.9	10.1	7.2	37.2	(5.5)	(5.5)	24.3	(25.0)	18.6	(16.3)
	PNC	0.6	4.5	0.1	1.6	(10.2)	3.3	8.2	8.2	24.5	(2.0)	(21.2)	39.7	(6.7)	36.5	(19.0)
	RF	0.5	5.2	3.6	6.4	(8.5)	2.1	5.6	15.2	21.4	(10.1)	(1.1)	40.6	(6.1)	28.3	(22.6)
	TFC	1.0	5.6	2.6	5.6	(7.7)	(3.4)	(0.6)	13.4	17.5	(14.2)	(26.5)	26.0	(14.9)	30.0	(12.8)
	USB	0.2	3.2	0.6	3.4	(7.3)	6.3	11.9	12.6	10.5	(0.8)	(22.4)	22.9	(21.4)	29.7	(14.7)
	ZION	(0.4)	4.4	3.3	5.2	(5.2)	5.4	12.6	7.9	23.7	(10.8)	(22.2)	47.9	(16.3)	27.4	(0.2)
	Avg.	0.5	3.6	(0.9)	2.1	(8.4)	2.4	6.5	26.1	28.6	3.6	(23.1)	40.4	(6.4)	30.3	(21.5)
	Indices															
	BKX	0.7	2.7	(2.2)	1.0	(9.1)	2.4	4.6	28.8	32.8	(4.8)	(23.7)	38.6	(13.6)	32.1	(19.6)
	KRE	0.4	5.0	1.6	4.7	(5.3)	5.4	12.2	7.4	15.1	(10.7)	(17.1)	38.9	(10.8)	24.5	(20.5)
	XLF	0.2	1.7	2.2	4.9	(2.7)	7.9	2.3	13.3	28.5	9.9	(12.4)	34.1	(4.2)	29.2	(14.7)
	SPX	0.7	(0.2)	(0.9)	0.3	3.3	7.6	12.1	16.4	23.3	24.2	(19.4)	27.7	16.3	28.9	(6.2)
	Type															
	MC's	0.9	1.0	(5.8)	(2.1)	(11.0)	(0.6)	(1.2)	42.1	39.0	13.9	(17.3)	41.0	(6.8)	37.1	(23.0)
	Trust	1.2	3.0	(3.9)	(0.3)	(6.4)	9.0	27.5	38.6	31.9	3.2	(21.2)	32.4	(11.8)	19.8	(21.3)
	Rgnl	0.1	5.1	2.3	4.8	(7.5)	2.2	5.1	15.7	23.0	(1.1)	(25.9)	41.8	(9.7)	31.9	(17.7)

Index	1 day	1 wk	1 mon	QTD	3 mon	6 mon	YTD	2025	2024	2023	2022	2021	2020	2019	2018
Rate Sensitivity															
Liability	0.5	2.5	(3.7)	(0.4)	(9.1)	1.3	7.7	30.8	27.4	(1.3)	(34.6)	33.6	(9.9)	22.8	(20.7)
Asset	0.3	5.3	2.9	5.0	(4.9)	3.0	4.5	16.0	24.9	1.7	(18.4)	46.1	(8.6)	34.8	(23.7)
Geography Mix															
NE	0.6	5.0	2.0	4.9	(8.9)	0.1	5.6	19.0	26.0	(9.3)	(14.5)	33.8	(11.6)	23.1	(21.5)
MW	0.0	6.6	3.9	5.8	(5.5)	5.7	7.6	18.7	23.7	(8.6)	(20.3)	47.4	(5.7)	31.7	(22.0)
SE	0.0	3.3	0.1	2.9	(9.2)	(1.6)	(1.3)	14.7	16.7	6.0	(25.4)	34.3	7.0	32.8	(19.1)
W	(0.1)	4.0	0.2	2.5	(5.4)	4.4	3.6	24.1	20.5	(4.8)	(43.4)	50.7	(12.5)	28.9	(12.8)
Nat'l	0.3	0.8	(3.9)	(1.3)	(8.7)	1.5	0.0	21.4	25.0	14.6	(24.3)	40.1	(18.7)	32.1	(17.6)
Loan Mix															
C&I	0.2	5.1	1.1	3.6	(8.1)	3.0	4.8	18.4	23.5	(10.0)	(26.4)	49.1	(9.4)	25.4	(22.2)
CRE	0.1	5.3	2.5	5.0	(6.7)	4.2	6.6	21.6	23.6	(9.0)	(20.7)	38.3	(3.6)	28.0	(19.9)
Mrtg	0.4	2.4	(0.7)	1.6	(7.3)	3.6	6.7	19.1	26.0	(6.7)	(17.4)	33.6	(7.7)	31.3	(17.5)
H/E	0.2	5.7	2.9	5.2	(6.8)	4.4	8.1	22.0	25.4	(11.3)	(15.9)	37.8	(4.0)	25.1	(22.8)
Card	0.3	0.5	(5.1)	(2.3)	(8.7)	0.2	0.8	30.3	27.4	17.4	(24.9)	29.0	(20.0)	42.5	(19.8)
Auto	0.6	3.7	(0.8)	2.2	(8.4)	3.1	8.8	18.7	24.0	0.4	(21.4)	38.4	(5.2)	28.4	(21.5)
Fee Income															
Low	0.5	3.4	(1.7)	1.2	(8.6)	3.1	11.7	28.0	27.9	3.7	(23.0)	41.8	(7.1)	27.1	(21.8)
High	1.1	1.8	(4.3)	(0.6)	(10.0)	2.3	5.7	38.8	38.1	10.2	(17.0)	46.3	2.7	28.1	(21.9)
Crisis Performance (profitable throughout or not)															
Yes	0.7	2.9	(0.2)	2.6	(6.6)	3.3	6.6	20.4	26.7	3.1	(19.3)	32.3	(15.9)	28.7	(16.0)
No	0.5	3.6	(1.5)	1.5	(8.4)	2.2	5.7	30.7	30.0	3.1	(23.0)	46.2	(0.8)	31.8	(23.8)
CEO Age															
< 59	1.0	2.7	(3.5)	0.0	(7.9)	2.7	8.8	32.7	30.9	9.4	(29.4)	45.1	(6.2)	27.1	(17.3)
> 64	0.4	2.9	(2.3)	0.7	(9.8)	2.7	8.6	26.2	28.6	5.3	(23.9)	37.0	(14.7)	27.1	(21.1)
Price/Tangible Book															
Low	0.2	4.2	(0.7)	2.1	(6.1)	4.5	9.0	31.8	25.4	13.4	(29.2)	37.2	(0.1)	31.7	(26.7)
High	0.7	2.8	(0.5)	2.4	(6.6)	1.2	1.4	24.2	30.5	(8.7)	(17.5)	38.9	(17.3)	25.7	(16.6)
Dividend Yield															
Low	0.6	2.1	(2.4)	1.0	(10.1)	0.7	(1.9)	23.7	30.0	13.8	(33.5)	47.9	(1.1)	33.8	(21.0)
High	0.1	4.4	1.7	3.6	(6.0)	5.0	8.3	21.3	24.1	(4.6)	(20.0)	38.6	(5.3)	26.5	(22.2)
Share Repurchase															
Most	0.3	4.2	0.6	3.7	(5.6)	5.0	8.0	29.0	25.3	2.8	(18.7)	51.6	NA	32.3	(20.3)
Least	0.5	3.6	(0.3)	1.9	(7.1)	3.5	10.3	21.5	27.6	1.3	(24.1)	33.2	NA	29.4	(22.9)

Color coding is based on relative performance against the other tickers/indices in that column.
Source: Barclays Research and Bloomberg

Recent Research

Analyst homepage – *CLICK HERE*

Earnings Evaluation - *links to our 3Q26 EPS review reports*

Guidance Grid, Key Spreadsheets & Snapshots Post 3Q26 EPS (10/26/26)

U.S.-Based Investment Banks: 3Q26 Review and Outlook (10/21/26)

Top 15 earnings season takeaways to date (10/18/26)

Mixed results, sound fundamentals, continued (10/14/26)

ALLY - 3Q26 EPS REVIEW: Stronger balance sheet growth, but also slightly softer NIM outlook (10/20/26)
BAC - 3Q26 EPS REVIEW: Solid 2027 NII, operating leverage outlook eclipsed by AML concerns (10/14/26)
BK - 3Q26 EPS REVIEW: Steady momentum pushes guidance up further (10/15/26)
C - 3Q26 EPS REVIEW: Solid YTD performance persists, yet guide implies seasonal soft 4Q (10/13/26)
CFG - 3Q26 EPS REVIEW: Fee income set to rebound in 4Q26, NIM/ROTCE on-track for 2027 targets (10/18/26)
FCNCA - 3Q26 EPS REVIEW: EPS beat, guidance raised, FDIC paydown, new buyback and divy hike (10/25/26)
FITB - 3Q26 EPS REVIEW: NII and PPNR tracking to high end as CMA synergies flow through (10/19/26)
GS - 3Q26 EPS REVIEW: From top decile to top quartile capital markets backdrop (10/13/26)
HBAN - 3Q26 EPS REVIEW: Modest 2026 outlook tweaks post September's downward revision (10/23/26)
JPM - 3Q26 EPS REVIEW: A rare EPS miss but 2027 NII trending much higher, costs close (10/13/26)
KEY - 3Q26 EPS REVIEW: Commercial momentum, repricing tailwinds support continued growth (10/20/26)
MS - 3Q26 EPS REVIEW: Record NNA reinforces wealth flywheel, IB and FICC a tad light (10/14/26)
MTB - 3Q26 EPS REVIEW: Still on pace for 17% ROTCE next year (10/18/26)
NTRS - 3Q26 EPS REVIEW: Strong NII growth drives elevated positive operating leverage (10/21/26)
PNC - 3Q26 EPS REVIEW: Increases full-year outlook yet again and reiterates exit NIM (10/15/26)
RF - 3Q26 EPS REVIEW: Beats on credit and fees, 2026 outlook unchanged (10/18/26)
TFC - 3Q26 EPS REVIEW: The next chapter begins with multiple balance sheet moves (10/18/26)
USB - 3Q26 EPS REVIEW: Broad-based strength drives another beat and raise (10/15/26)
WFC - 3Q26 EPS REVIEW: Reiterates 2026 NII and expense guides while NIM stabilizes (10/13/26)
ZION - 3Q26 EPS REVIEW: Sees mid-3%'s NIM in 2027 given current rate expectations (10/19/26)

Popular Presentations - *links to SELECT presentations, posters, podcasts and other goodies*
Guidance Grid, Key Spreadsheets & Snapshots Post 3Q26 EPS (*spreadsheets;* 10/26/26)
Large-Cap Banks Valuation Table (10/23/26 close)
Earnings Enchiridion and extra elements to make the EPS season easier (*spreadsheets;* 10/6/26)
POSTER - FALL 2026 (*color double-sided 17" x 22" version available upon request;* 9/1/26*)*
SLIDE DECK: State of the Industry – Fall 2026 (*slide deck; 9/1/26*)
2Q26 Quarterly Bank Chartbook (8/25/26)
WEBINAR REPLAY - Banking Industry Teach-in with Jason Goldberg (*webinar;* 6/4/26)
US Banks and Markets Conference (*short slide deck;* 6/4/26)

TEACHING MATERIALS: Bank Stock Outlook, Forecasting & Valuation (*slide deck;* 6/1/26)
Bank Chartbook: 1934–2025 & 1Q84–4Q25 (2/25/26)
The Flip Side: Episode 75 - US bank regulatory reform: Capital relief or systemic risk? (*podcast;* 9/4/25)

Industry Illuminations - *links to SELECT industry reports from this year*
Weekly Bank Briefing (10/25/26)
U.S.-Based Investment Banks: 3Q26 Review and Outlook (10/21/26)
3Q26 EPS PREVIEW: Solid showing should surmount stock sluggishness (10/6/26)
Fed mostly finalizes stress test: transparency up, volatility down, SCB steady, fees pending (9/30/26)
Stress test finalization soon, liquidity proposal this fall, and B3/GSIB reform by year-end (9/22/26)
2026 Global Financial Services Conference Recap (9/17/26)
2026 Conference Preview: Double-digit EPS growth, high-teen returns, and AI opportunities (9/9/26)
2Q26 GSIB Surcharge Tracker: Scores continue to climb but changes are coming (8/25/26)
2Q26 Quarterly Bank Chartbook (8/25/26)
2Q26 FFIEC Data: Loan losses & delinquencies both improve to lowest level since 3Q23 (8/25/26)
2Q26 10-Q Review & Current Events (8/17/26)
2Q26 Reserve Analysis: R/L ratio falls for 5th straight quarter, ACL approaching CECL Day 1 (8/12/26)
2Q26 10-Q Tweets (8/10/26)
SLOOS: Large banks see stronger C&I and CRE demand, only card sees standards tighten (8/3/26)
2Q26 EPS Review & Outlook: Higher fees, lower provision drive continued EPS beats (7/30/26)
Stress Test Results 2026: Banks perform well though it doesn't count (6/24/26)
Capital Outlook: A more pragmatic capital regime emerges (6/11/26)
Basel III Endgame & GSIB Surcharge Proposal Released: Additional Capital Relief Coming (3/19/26)
Basel III Endgame & GSIB Surcharge Proposal Preview: Additional Capital Relief Coming (3/16/26)
Bank Chartbook: 1934–2025 & 1Q84–4Q25 (2/25/26)
Fed stress test won't count this year (2/4/26)
Shared National Credit Exam Review 2025: Credit Risks Remain Moderate (1/12/26)
Trump calls for one-year cap on credit card rates at 10% (1/12/26)
From Custody to Issuance: How Banks Are Navigating the Stablecoin Ecosystem (1/7/26)
U.S. Large-Cap Banks 2026 Outlook – Past, Present & Yet to Come: Remain constructive as 'the days pass pretty much as they had passed before' (1/5/26)

Ten-Q Takeaways - *links to our 2Q26 10-Q review reports (for those that have filed)*
2Q26 10-Q Review & Current Events (8/17/26)
2Q26 10-Q Tweets (8/10/26)
ALLY - 2Q26 10-Q REVIEW: Another credit risk transfer in 2Q, criticized loans tick higher (7/24/26)
BAC - 2Q26 10-Q REVIEW: Completed steps to satisfy 2024 Consent Order but penalties possible (8/2/26)

BNY - 2Q26 10-Q REVIEW: 3Q volume-related fees could decline after strong 2Q DR activity (8/2/26)
C - 2Q26 10-Q REVIEW: Banamex deconsolidation and related CTA losses expected in early 2027 (8/7/26)
CFG - 2Q26 10-Q REVIEW: Terminated swap benefit to persist, criticized loans improve (8/4/26)
FCNCA - 2Q26 10-Q REVIEW: BMO buy to drive $6-8bn note paydown, model update reduced ACL (8/9/26)
FITB - 2Q26 10-Q REVIEW: Transition to Cat III begins in 3Q26, solar energy installation loans paused (8/5/26)
GS - 2Q26 10-Q REVIEW: VaR multiplier declines, IB fees backlog increases (8/4/26)
HBAN - 2Q26 10-Q REVIEW: RPL up w/ new CADE lawsuit disclosure, criticized assets decline (7/29/26)
KEY - 2Q26 10-Q REVIEW: Outlook unch'd, NPA jump not indicative of broader credit deterioration (8/4/26)
JPM - 2Q26 10-Q REVIEW: Reiterates 2026 outlook, ups CIB capital allocation (8/7/26)
MS - 2Q26 10-Q REVIEW: Just over half of 2Q26 NNA tied to IPOs of Workplace clients (8/5/26)
MTB - 2Q26 10-Q REVIEW: Transferred $8.3bn from AFS to HTM, HTM rises to 53% of securities (8/4/26)
NTRS - 2Q26 10-Q REVIEW: Loans rated 6 to 9 rise 11%, has more unrealized V gains (7/30/26)
PNC - 2Q26 10-Q REVIEW: Guidance unchanged, criticized loans improve (8/5/26)
RF - 2Q26 10-Q REVIEW: Share buyback off to another slow start in 3Q26 (8/6/26)
STT - 2Q26 10-Q REVIEW: Net new business higher, asset sensitivity rises (7/30/26)
TFC - 2Q26 10-Q REVIEW: Exits marine/RV lending, further tightens prime/non-prime auto (8/2/26)
USB - 2Q26 10-Q REVIEW: BTIG buy closes, criticized loans improve, remains relatively rate neutral (8/9/26)
WFC - 2Q26 10-Q REVIEW: Commercial NALs decline though lower proportion current (7/28/26)
ZION - 2Q26 10-Q REVIEW: Basis Multifamily Finance purchase closed, share buyback persists (8/6/26)

Bank Brief BANTER – *recent editions of our weekly product on 'what we are hearing/ thinking'*
Top 15 earnings season takeaways to date (10/18/26)
Mixed results, sound fundamentals, continued (10/14/26)
Post the recent relative drop, top 10 factors to watch this EPS season (10/11/26)
Top ten arguments for bank stock (& the rebuttal) (9/24/26)
Investor views from A(LLY) to Z(ION) post the Conference (9/18/26)
Near-term backdrop, growth opportunities, ROTCEs and AI in focus (9/11/26)
Revisiting this year's top ten predictions & where we currently stand (8/6/26)
Investor sector & ticker views from A(LLY) to Z(ION) post 2Q26 EPS (7/28/26)
A baker's dozen takeaways as banks clear a high earnings bar (7/20/26)
2Q26 EPS preview, stress test results, and leadership changes in focus (6/26/26)
A dozen quick takes from this week (6/12/26)
25 lessons heading into 125 EPS seasons covering bank stocks (6/5/26)
You have to spend money to make (even more) money (5/31/26)
Deposit discussions back in focus (5/21/26)
Constructive week on both sides of the pond, though some caveats (5/11/26)
Investor sector & ticker views from A(LLY) to Z(ION) post 1Q26 EPS (4/27/26)

Top 15 takeaways from 1Q26 EPS season to date (4/20/26)
Utilizing 1Q EPS, conf calls and AGMs to climb a wall of worries (4/9/26)
Annual Meetings and Shareholder Letters (4/6/26)
Sound outlook near-term, capital relief but investors skeptical (3/16/26)
Bears 'march' on top of beginning-of-year constructive base case (3/9/26)
15 banking industry observations from JPM's 'Company Update' (2/27/26)
Solid not soft, where the industry outlook is (2/13/26)
Evaluating episodic ebbing, emerging events, expectations, EPS (2/6/26)
Investor sector & ticker views from A(LLY) to Z(ION) post 4Q25 EPS (1/29/26)
Earnings season halftime: 20 plays that defined last week (1/19/26)
What this EPS season's annual 'outlook slides' could look like (1/12/26)
Our Top 10 Top 10 Lists For 2026 (1/6/26)

Model Monitor - *links to our Excel models*
ALLY (10/20/26) **BAC** (10/14/26) **BNY** (10/15/26) **C** (10/13/26) **CFG** (10/18/26)
FCNCA (10/25/26) **FITB** (10/19/26) **GS** (10/13/26) **HBAN** (10/22/26)
JPM (10/13/26) **KEY** (10/20/26) **MS** (10/14/26) **MTB** (10/16/26) **NTRS** (10/21/26)
PNC (10/15/26) **RF** (10/16/26) **STT** (10/14/26) **TFC** (10/16/26) **USB** (10/15/26)
WFC (10/13/26) **ZION** (10/19/26)

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Materially Mentioned Stocks (Ticker, Date, Price)
First Citizens BancShares, Inc. (FCNCA, 23-Oct-2026, USD 2375.84), Equal Weight/Positive, CD/J/K/M/N

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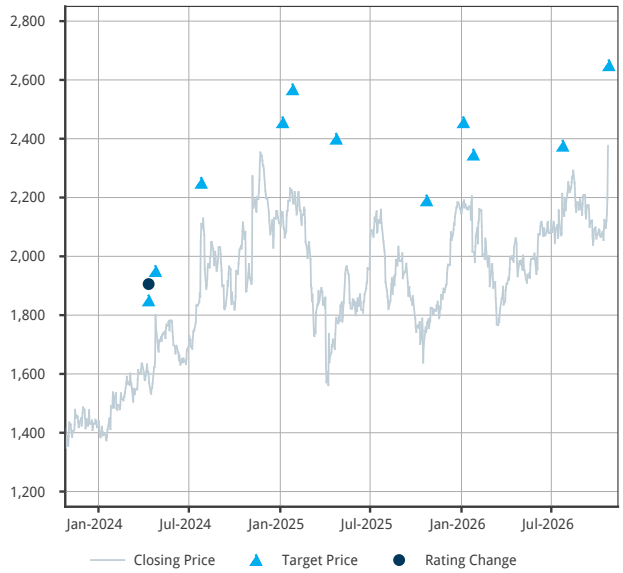
First Citizens BancShares, Inc. (FCNCA / FCNCA)

Stock Rating: **EQUAL WEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 2375.84** (23-Oct-2026)

Rating and Price Target Chart (as of 23-Oct-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
25-Oct-2026	2375.84		2650.00	USD
24-Jul-2026	2212.77		2376.00	USD
25-Jan-2026	2203.53		2346.00	USD
05-Jan-2026	2146.18		2456.00	USD
23-Oct-2025	1751.52		2190.00	USD
24-Apr-2025	1790.65		2400.00	USD
26-Jan-2025	2225.00		2568.00	USD
06-Jan-2025	2113.02		2456.00	USD
26-Jul-2024	1862.27		2250.00	USD
25-Apr-2024	1639.63		1950.00	USD
11-Apr-2024	1607.61	Equal Weight	1850.00	USD

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our price target is $2,650, based on 12.5x our 2027 EPS estimate of $213.25.

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BRND2026